

Credit Update

29 September 2021

Zee Entertainment Enterprises Limited (ZEEL)

BWR has taken note of disclosure made by the company to the stock exchange as below.

The Board of Directors of Zee Entertainment Enterprises Limited at its meeting held on September 22, 2021, has approved the execution of a non-binding term sheet ("Term Sheet") with Sony Pictures Networks India Private Limited ("Sony India") in relation to a potential transaction involving a composite scheme of arrangement for the merger of the Company and Sony India and infusion of growth capital by the promoters of Sony India into Sony India as part of the merger ("Proposed Transaction"). The proposed transaction is subject to completion of satisfactory due diligence by the Company and Sony India, negotiation, finalization and execution of definitive agreements and fulfilment of other conditions (including receipt of corporate, regulatory and third party approvals) as may be applicable from time to time.

BWR has also noted the news in the media that the largest shareholder Invesco repeated its call for an extraordinary general meeting (EGM) seeking the removal of MD and CEO Mr. Punit Goenka and the induction of its six nominees on the board. BWR sought clarification on the news in the media from the Company and per the clarification received, company has received letter from Invesco for calling an Extraordinary General Meeting of the shareholders of Zee Entertainment Enterprises Limited, Company is seized of the matter and the company will take the necessary action as per applicable law.

BWR has a current rating of BWR A (Credit Watch with Negative Implications) for CRNPS and Issuer Rating of ZEEL.

BWR will continue to monitor the developments.

Please refer to the link below for previous rating rationale.

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